FALLEN EMPIRES

Lovepop on Shark Tank: the deal sheet

Two naval architects turned ship-design techniques into 3D pop-up greeting cards, and took them to Shark Tank.

Every number below comes from the sources listed at the end. This is a business case study, not investment advice.

The deal

| | |

|---|---|

| Episode | Shark Tank, Season 7, holiday episode, first aired December 11, 2015 |

| Founders | Wombi Rose (CEO) and John Wise, naval architects who met at the Webb Institute, then reunited at Harvard Business School |

| Product | 3D pop-up cards cut from paper, using "Slicegami": kirigami combined with the slice-form structure used in ship design |

| The ask | $300,000 for 10% (asked valuation: $3 million) |

| Sharks out | Mark Cuban, Lori Greiner, Barbara Corcoran |

| Bidders | Robert Herjavec bid; Kevin O'Leary matched him |

| Final deal | Kevin O'Leary: $300,000 for 15% (deal valuation: $2 million) |

| Closed? | Yes. Lovepop joined O'Leary's "Something Wonderful" group (press release, Dec 14, 2015) |

What happened next

- **2018**: $12.5 million Series A (Accomplice, Highland Capital Partners).
- **2019**: a $10.1 million follow-on round. About $22.6 million raised in two rounds.

- **2020–2022**: six company-owned stores opened in two years, two of them at Disney locations (Downtown Disney, Disney Springs).
- **May 2022**: Lovepop cards in more than 400 Walmart stores plus walmart.com, its first mass-retail partnership.
- Other major partners named in 2022: Kohl's and Barnes & Noble, among hundreds of retailers.

3 things Lovepop did right

1. **Turned a real skill into a product edge.** The founders used the ship-design structure they trained on, so the cards are hard to copy by hand.
2. **Proved demand before TV.** They were already selling through kiosks in Boston before the episode aired.
3. **Picked the partner, not just the price.** They accepted 15% instead of 10% to work with the Shark they chose.

2 mistakes to avoid (lessons from the case)

1. **Judging a deal only by the equity given up.** Lovepop gave 5 more points than it asked for; what came after mattered more than that gap.
2. **Staying in one channel.** Lovepop sold online, in its own stores and through big retailers; relying on a single channel is riskier.

Glossary

- **Valuation**: what the company is worth in the deal. $300,000 ÷ 10% = $3 million asked; $300,000 ÷ 15% = $2 million agreed.
- **Equity**: the share of the company the investor gets (here, 15%).
- **Series A**: the first big round of venture capital after the early days ($12.5 million for Lovepop in 2018).
- **Retail / mass retail**: selling through other stores (Walmart, Kohl's) instead of only your own website.

Sources

- Success, "How Lovepop Survived the Shark Tank": https://www.success.com/how-lovepop-survived-the-shark-tank
- PR Newswire, Dec 14, 2015: https://www.prnewswire.com/news-releases/shark-tanks-kevin-oleary-backs-lovepop-to-change-the-way-we-say-i-love-you-300192435.html
- Looper, Feb 20, 2023: https://www.looper.com/1202179/whatever-happened-to-lovepop-after-shark-tank
- Modern Retail, Mar 16, 2022: https://www.modernretail.co/startups/why-greeting-card-startup-lovepop-is-opening-more-stores-in-2022/
- PR Newswire, May 24, 2022: https://prnewswire.com/news-releases/lovepop-brings-magical-moments-to-more-shoppers-across-the-us-301554000.html
- CNBC, May 23, 2018: https://www.cnbc.com/video/2018/05/23/shark-tank-company-lovepop-raised-12m-to-sell-3d-wedding-invites.html
- Lovepop, About: https://lovepop.com/pages/about-lovepop

Free guide from Fallen Empires. Information only, not financial, legal or medical advice.